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SAUDI BASIC INDUSTRIES CORPORATION (SABIC)

(A SAUDI JOINT STOCK COMPANY)

CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS FOR THE THREE AND NINE MONTHS PERIODS ENDED 30 SEPTEMBER 2024 AND INDEPENDENT AUDITOR'S REVIEW REPORT

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Report on review of condensed consolidated interim financial statements

To the shareholders of Saudi Basic Industries Corporation (SABIC)
(A Saudi Joint Stock Company)

Introduction

We have reviewed the accompanying condensed consolidated interim statement of financial position of Saudi Basic Industries Corporation and its subsidiaries (the "Group") as of 30 September 2024 and the related condensed consolidated interim statements of income and comprehensive income for the three-month and nine-month periods then ended and the condensed consolidated interim statements of changes in equity and cash flows for the nine-month period then ended and other explanatory notes. Management is responsible for the preparation and presentation of these condensed consolidated interim financial statements in accordance with International Accounting Standard 34 - "Interim Financial Reporting" (IAS 34), as endorsed in the Kingdom of Saudi Arabia. Our responsibility is to express a conclusion on these condensed consolidated interim financial statements based on our review.

Scope of review

We conducted our review in accordance with International Standard on Review Engagements 2410, "*Review of interim financial information performed by the independent auditor of the entity*", as endorsed in the Kingdom of Saudi Arabia. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing, as endorsed in the Kingdom of Saudi Arabia, and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying condensed consolidated interim financial statements are not prepared, in all material respects, in accordance with IAS 34, as endorsed in the Kingdom of Saudi Arabia.

PricewaterhouseCoopers





Bader I. Benmohareb
License No. 471
3 November 2024

CONDENSED CONSOLIDATED INTERIM STATEMENT OF FINANCIAL POSITION

All amounts in thousands of Saudi Riyals unless otherwise stated

As at	Note	30 September 2024	31 December 2023
Assets			
Non-current assets			
Property, plant and equipment		**113,177,378**	115,122,579
Right-of-use assets		**4,970,247**	5,578,572
Intangible assets		**19,540,399**	19,763,009
Investments in associates and joint ventures		**37,636,929**	41,237,301
Investments in debt and equity instruments		**590,948**	568,943
Deferred tax assets		**2,253,435**	1,749,286
Derivative financial instruments		**4,050,049**	3,745,176
Other assets and receivables		**9,551,698**	6,011,266
Total non-current assets		**191,771,083**	193,776,132
Current assets			
Inventories		**18,772,166**	18,332,223
Trade receivables		**22,314,167**	19,295,374
Other assets and receivables		**10,065,563**	5,295,155
Short-term investments		**10,982,359**	9,842,617
Cash and cash equivalents		**23,491,745**	32,414,996
		85,626,000	85,180,365
Assets held for sale	*4, 5*	**3,623,625**	15,423,954
Total current assets		**89,249,625**	100,604,319
Total assets		**281,020,708**	294,380,451

As at	Note	30 September 2024	31 December 2023
Equity and liabilities			
Equity			
Equity attributable to equity holders of the Parent		**165,482,146**	167,428,614
Non-controlling interests		**27,604,605**	27,853,926
Total equity		**193,086,751**	195,282,540
Non-current liabilities			
Debt and lease liabilities		**29,360,409**	27,877,638
Employee benefits		**13,958,143**	12,894,392
Deferred tax liabilities		**627,577**	814,942
Derivative financial instruments		**2,103,393**	2,011,144
Provisions and other liabilities		**2,672,167**	2,699,429
Total non-current liabilities		**48,721,689**	46,297,545
Current liabilities			
Short-term borrowings, current portion of debt and current portion of lease liabilities		**5,527,976**	5,619,129
Trade payables, provisions and other liabilities		**33,684,292**	41,480,347
		39,212,268	47,099,476
Liabilities directly associated with assets held for sale	*4, 5*	**-**	5,700,890
Total current liabilities		**39,212,268**	52,800,366
Total liabilities		**87,933,957**	99,097,911
Total equity and liabilities		**281,020,708**	294,380,451

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The accompanying notes from 1 to 11 form an integral part of these condensed consolidated interim financial statements.

CONDENSED CONSOLIDATED INTERIM STATEMENT OF INCOME

All amounts in thousands of Saudi Riyals unless otherwise stated

	For the three months period ended 30 September		For the nine months period ended 30 September	
	2024	2023	2024	2023
Revenue (refer Note 7)	**36,880,147**	35,975,303	**105,284,568**	106,505,049
Cost of sales	**(29,880,451)**	(29,572,011)	**(85,228,694)**	(89,008,535)
Gross profit	**6,999,696**	6,403,292	**20,055,874**	17,496,514
General and administrative expenses	**(2,451,348)**	(2,303,919)	**(7,239,188)**	(6,511,020)
Research and development expenses	**(499,117)**	(478,242)	**(1,484,635)**	(1,376,836)
Selling and distribution expenses	**(2,213,262)**	(1,837,738)	**(6,110,573)**	(5,635,185)
Results from integral joint ventures	**245,813**	238,495	**683,108**	975,311
Other operating income	**491,466**	266,539	**1,072,439**	953,049
Other operating expenses	**(95,988)**	(607,705)	**(1,188,813)**	(817,275)
Income from operations	**2,477,260**	1,680,722	**5,788,212**	5,084,558
Results from associates and non-integral joint ventures	**3,677**	(195,889)	**493,520**	48,782
Finance income	**452,669**	842,828	**1,641,960**	2,595,056
Finance cost	**(712,173)**	(684,311)	**(2,052,402)**	(1,895,090)
Income before zakat and income tax	**2,221,433**	1,643,350	**5,871,290**	5,833,306
Zakat expense (refer Note 5.3)	**(397,217)**	(311,064)	**(183,618)**	(1,229,931)
Income tax benefit (expense)	**19,665**	(26,789)	**(6,211)**	(258,650)
Net income from continuing operations	**1,843,881**	1,305,497	**5,681,461**	4,344,725
Net loss from discontinued operation (refer Note 4)	**(80,500)**	(3,412,480)	**(515,485)**	(3,823,769)
Net income (loss)	**1,763,381**	(2,106,983)	**5,165,976**	520,956

	For the three months period ended 30 September		For the nine months period ended 30 September	
	2024	2023	2024	2023
Net income from continuing operations				
Attributable to:				
• Equity holders of the Parent	**1,084,124**	536,122	**3,948,857**	2,782,739
• Non-controlling interests	**759,757**	769,375	**1,732,604**	1,561,986
	1,843,881	1,305,497	**5,681,461**	4,344,725
Net income (loss)				
Attributable to:				
• Equity holders of the Parent	**1,003,624**	(2,876,358)	**3,433,372**	(1,041,030)
• Non-controlling interests	**759,757**	769,375	**1,732,604**	1,561,986
	1,763,381	(2,106,983)	**5,165,976**	520,956
Basic and diluted earnings per share from net income (loss) attributable to equity holders of the Parent (Saudi Riyals)				
• Net income from continuing operations	**0.36**	0.18	**1.32**	0.93
• Net income (loss)	**0.33**	(0.96)	**1.14**	(0.35)

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The accompanying notes from 1 to 11 form an integral part of these condensed consolidated interim financial statements.

CONDENSED CONSOLIDATED INTERIM STATEMENT OF COMPREHENSIVE INCOME

All amounts in thousands of Saudi Riyals unless otherwise stated

	For the three months period ended 30 September		For the nine months period ended 30 September	
	2024	2023	2024	2023
Net income (loss)	**1,763,381**	(2,106,983)	**5,165,976**	520,956
Other comprehensive income				
Items that will not be reclassified subsequently to the consolidated statement of income				
• Re-measurement (loss) gain on defined benefit plans and others, net of tax	**(947,559)**	870,795	**(347,196)**	821,839
• Share of other comprehensive (loss) income of associates and joint ventures	**(3,964)**	38,068	**(76,788)**	196,065
	(951,523)	908,863	**(423,984)**	1,017,904
Items that may be reclassified subsequently to the consolidated statement of income				
• Exchange difference on translation	**873,926**	(598,174)	**257,746**	(280,139)
• Share of other comprehensive income (loss) of associates and joint ventures	**500,407**	(176,804)	**(173,139)**	(302,426)
	1,374,333	(774,978)	**84,607**	(582,565)
Reclassification of other comprehensive income related to discontinued operation				
• Share of other comprehensive loss of a joint venture (refer Note 4)	-	-	**(2,111)**	-
	-	-	**(2,111)**	-
Net movement of other comprehensive income (loss)	**422,810**	133,885	**(341,488)**	435,339
Total comprehensive income (loss)	**2,186,191**	(1,973,098)	**4,824,488**	956,295

	For the three months period ended 30 September		For the nine months period ended 30 September	
	2024	2023	2024	2023
Total comprehensive income (loss)				
Attributable to:				
• Equity holders of the Parent	**1,570,560**	(2,880,285)	**3,153,532**	(745,641)
• Non-controlling interests	**615,631**	907,187	**1,670,956**	1,701,936
	2,186,191	(1,973,098)	**4,824,488**	956,295
Total comprehensive income (loss) attributable to equity holders of the Parent				
• Continuing operations	**1,651,060**	341,001	**3,580,042**	2,886,520
• Discontinued operation	**(80,500)**	(3,221,286)	**(426,510)**	(3,632,161)
	1,570,560	(2,880,285)	**3,153,532**	(745,641)

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CONDENSED CONSOLIDATED INTERIM STATEMENT OF CHANGES IN EQUITY

All amounts in thousands of Saudi Riyals unless otherwise stated

	Attributable to the equity holders of the Parent							
	Share capital	Statutory reserve	General reserve	Other reserves	Retained earnings	Total	Non-controlling interests	Total equity
Balance as at 1 January 2023	30,000,000	15,000,000	110,889,032	(1,931,155)	32,088,421	186,046,298	31,570,961	217,617,259
Net (loss) income	-	-	-	-	(1,041,030)	(1,041,030)	1,561,986	520,956
Other comprehensive income	-	-	-	295,389	-	295,389	139,950	435,339
Total comprehensive income (loss)	-	-	-	295,389	(1,041,030)	(745,641)	1,701,936	956,295
Transfer of statutory reserve	-	(15,000,000)	-	-	15,000,000	-	-	-
Dividends and others	-	-	-	-	(11,400,000)	(11,400,000)	(4,398,896)	(15,798,896)
Balance as at 30 September 2023	30,000,000	-	110,889,032	(1,635,766)	34,647,391	173,900,657	28,874,001	202,774,658
Balance as at 1 January 2024	30,000,000	-	110,889,032	(1,576,557)	28,116,139	167,428,614	27,853,926	195,282,540
Net income	-	-	-	-	**3,433,372**	**3,433,372**	**1,732,604**	**5,165,976**
Other comprehensive loss	-	-	-	**(279,840)**	-	**(279,840)**	**(61,648)**	**(341,488)**
Total comprehensive (loss) income	-	-	-	**(279,840)**	**3,433,372**	**3,153,532**	**1,670,956**	**4,824,488**
Reclassification of re-measurement gain on defined benefit plans related to discontinued operation	-	-	-	**(601,895)**	**601,895**	-	-	-
Dividends and others	-	-	-	-	**(5,100,000)**	**(5,100,000)**	**(1,920,277)**	**(7,020,277)**
Balance as at 30 September 2024	**30,000,000**	-	**110,889,032**	**(2,458,292)**	**27,051,406**	**165,482,146**	**27,604,605**	**193,086,751**

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The accompanying notes from 1 to 11 form an integral part of these condensed consolidated interim financial statements.

CONDENSED CONSOLIDATED INTERIM STATEMENT OF CASH FLOWS

All amounts in thousands of Saudi Riyals unless otherwise stated

For the nine months period ended 30 September	2024	2023
Operating activities		
Income (loss) before zakat and income tax		
• from continuing operations	**5,871,290**	5,833,306
• from discontinued operation (refer Note 4)	**(471,152)**	(3,729,917)
Adjustment to reconcile income (loss) before zakat and income tax to net cash from operating activities:		
• Depreciation, amortisation and impairment	**10,112,995**	11,430,827
• Fair value re-measurement on assets held for sale (refer Note 4.1)	**262,228**	2,931,042
• Gain on sale of assets held for sale (refer Note 5.1)	**(291,359)**	-
• Results of associates and non-integral joint ventures	**(493,520)**	(48,782)
• Finance income	**(1,641,960)**	(2,609,851)
• Finance costs	**2,052,402**	2,019,369
• Other movements, net	**32,133**	40,097
Change in operating assets and liabilities:		
Changes in inventories, trade receivables and payables	**(4,366,728)**	2,606,847
Increase in employee benefits	**283,093**	406,529
Other assets and liabilities changes	**511,192**	1,020,587
	11,860,614	19,900,054
Interest received	**1,109,387**	1,303,807
Interest paid	**(1,440,212)**	(1,024,933)
Zakat and income tax paid	**(2,128,972)**	(2,777,148)
Net cash from operating activities	**9,400,817**	17,401,780

For the nine months period ended 30 September	2024	2023
Investing activities		
Purchase of property, plant and equipment and intangible assets	**(7,265,355)**	(8,009,481)
Investments in associates and non-integral joint ventures	**(724,729)**	(1,429,613)
Dividend received from associates and non-integral joint ventures	**743,409**	1,099,340
Short-term investments, net	**(679,294)**	(1,965,784)
Other assets movements	**17,532**	306,154
Proceeds from sale of discontinued operation (refer Note 4.3)	**1,163,045**	-
Cash and cash equivalents transferred (refer Note 4.3)	**(1,365,147)**	-
Net cash flow from disposal of discontinued operation	**(202,102)**	-
Proceeds from sale of assets held for sale (refer Note 5.1)	**562,424**	-
Cash and cash equivalents transferred (refer Note 5.1)	**(142,781)**	-
Net cash flow from disposal of assets held for sale	**419,643**	-
Net cash used in investing activities	**(7,690,896)**	(9,999,384)
Financing activities		
Proceeds from debt	**13,350,000**	600,000
Debt and lease repayments	**(12,517,856)**	(2,783,380)
Dividends paid to shareholders	**(9,965,144)**	(6,024,267)
Dividends paid to non-controlling interests	**(2,900,197)**	(4,201,868)
Net cash used in financing activities	**(12,033,197)**	(12,409,515)

CONDENSED CONSOLIDATED INTERIM STATEMENT OF CASH FLOWS (CONTINUED)

All amounts in thousands of Saudi Riyals unless otherwise stated

For the nine months period ended 30 September	2024	2023
Decrease in cash and cash equivalents	**(10,323,276)**	(5,007,119)
Net foreign exchange loss on cash and cash equivalents	**(73)**	(40,472)
Cash and cash equivalents at the beginning of the period	**33,795,375**	40,039,135
Cash and cash equivalents at the end of the period	**23,472,026**	34,991,544
Cash and cash equivalents	**23,491,745**	34,301,380
Cash and cash equivalents (included in assets held for sale)	**-**	749,137
Less: Short-term borrowings (bank overdrafts)	**(19,719)**	(58,973)
Cash and cash equivalents at the end of the period	**23,472,026**	34,991,544
Cash flows of discontinued operation (refer Note 4)		

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The accompanying notes from 1 to 11 form an integral part of these condensed consolidated interim financial statements.

NOTES TO THE CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

All amounts in thousands of Saudi Riyals unless otherwise stated

1. CORPORATE INFORMATION

Saudi Basic Industries Corporation ("SABIC" or "the Parent") is a Saudi Joint Stock Company established pursuant to Royal Decree Number M/66 dated 13 Ramadan 1396H (corresponding to 6 September 1976) registered in Riyadh under commercial registration No. 1010010813 dated 14 Muharram 1397H (corresponding to 4 January 1977). The registered office is located at Qurtubah district, P.O. Box 5101, Riyadh 11422, Kingdom of Saudi Arabia ("KSA").

Saudi Arabian Oil Company ("Saudi Aramco") owns 70% of SABIC through one of its subsidiaries, "Aramco Chemicals Company". The Saudi Arabian Government is the largest shareholder by 81.48% direct shareholding in Saudi Aramco. The remaining 30% of SABIC shares are held by the private sector.

SABIC and its subsidiaries (collectively the "Group") are engaged in the manufacturing, marketing and distribution of chemicals, polymers, plastics and agri-nutrients products in global markets.

The condensed consolidated interim financial statements of the Group for the three and nine months period ended 30 September 2024 were authorised for issue in accordance with a resolution of the Board of Directors on 3 November 2024.

2. BASIS OF PREPARATION

These condensed consolidated interim financial statements have been prepared in accordance with International Accounting Standard 34 *'Interim Financial Reporting'* ("IAS 34") as endorsed in KSA and other standards and pronouncements that are endorsed by the Saudi Organization for Chartered and Professional Accountants ("SOCPA").

These condensed consolidated interim financial statements do not include all information and disclosures required in the annual consolidated financial statements and should therefore be read in conjunction with the Group's annual consolidated financial statements for the year ended 31 December 2023.

An interim period is considered as an integral part of the whole fiscal year. However, the results of operations for the interim periods may not be a fair indication of the results of the full year operations.

3. NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS ADOPTED BY THE GROUP

The accounting policies adopted in the preparation of the condensed consolidated interim financial statements are consistent with those followed in preparing the Group's annual consolidated financial statements for the year ended 31 December 2023, except for the adopted amendments to International Financial Reporting Standards ("IFRS") as elaborated below.

The Group has adopted the following relevant amendments to IFRS as endorsed in the KSA, which are effective for periods beginning on and after 1 January 2024, and have no impact on the Group:

- Amendment to IAS 1: Classification of Liabilities as Current or Non-current elaborates the requirements of 'right to defer settlement' by clarifying the meaning of right to defer and how the classification is unaffected by the likelihood that an entity will exercise such deferral right. The amendments published in 2020 and 2022 respectively, clarify that the classification of liabilities as current or non-current is based solely on a company's right to defer settlement for at least 12 months at the reporting date. The right needs to exist at the reporting date and must have substance. Only covenants with which a company must comply on or before the reporting date may affect this right. Covenants to be complied with after the reporting date do not affect the classification of a liability as current or non-current at the reporting date.

The Group has not early adopted any new standard, interpretation or amendment that have been issued but which are not yet effective.

4. DISCONTINUED OPERATION

On 3 September 2023, the group announced signing an agreement with the 'Public Investment Fund' ("PIF") to acquire all SABIC shares in the 'Saudi Iron and Steel Company' ("Hadeed").

Following the signing of the agreement, Hadeed was presented as 'discontinued operation' under IFRS 5 *'Non-current Assets Held for Sale and Discontinued Operations'*. The assets and liabilities of the disposal group were therefore classified and presented separately as 'held for sale' in the annual consolidated financial statements for the year ended 31 December 2023. These were measured at lower of their carrying amount and fair value less costs to sell (based on the agreement) and depreciation was ceased on relevant assets from the date of their classification as 'held for sale'.

As per 31 May 2024, SABIC had obtained all approvals from the relevant authorities and satisfied all conditions related to the transfer of the ownership of Hadeed to PIF. The final amount of the total sale consideration will be determined once the completion accounts are concluded in line with the agreement which is expected during the second half of 2024.

4.1 Financial performance and cash flow information

Following table presents the financial performance of discontinued operation for the following periods:

For the nine months period ended 30 September	2024	2023
Revenue	**5,214,495**	9,758,744
Depreciation and amortisation	**-**	(842,578)
Cost of sales and other expenses, net	**(5,360,409)**	(9,605,557)
Finance income and expenses	**(63,010)**	(109,484)
Loss before zakat	**(208,924)**	(798,875)
Zakat expense	**(44,333)**	(93,852)
Loss after zakat	**(253,257)**	(892,727)
Fair value re-measurement on assets held for sale	**(262,228)**	(2,931,042)
Loss from discontinued operation	**(515,485)**	(3,823,769)
Re-measurement gain on defined benefit plan	**91,086**	191,608
Reclassification of other comprehensive loss	**(2,111)**	-
Total comprehensive loss from discontinued operation	**(426,510)**	(3,632,161)

Following table presents the cash flow information of discontinued operation for the following periods:

For the nine months period ended 30 September	2024	2023
Net cash generated from operating activities	**71,792**	109,572
Net cash from (used in) investing activities	**45,850**	(518,535)
Net cash used in financing activities	**(136,141)**	(184,948)
Net decrease in cash and cash equivalents	**(18,499)**	(593,911)

Loss before zakat and income tax from discontinued operation, as presented in the condensed consolidated interim statement of cash flows amounting to SR 471 million including the additional fair value re-measurement on assets held for sale.

4. DISCONTINUED OPERATION (CONTINUED)

4.2 Assets and liabilities of disposal group classified as held for sale

The carrying amounts of assets and liabilities of disposal group classified as held for sale were:

As at	31 December 2023
Assets held for sale	
Property, plant and equipment, right-of-use assets and intangible assets (i)	5,334,816
Inventories	3,904,243
Trade receivables	2,765,103
Other assets	2,036,146
Cash and cash equivalents	1,383,646
Total assets	15,423,954
Liabilities directly associated with assets held for sale	
Employee benefits	2,957,098
Other liabilities	2,214,757
Trade payables	529,035
Total liabilities	5,700,890
Net assets	9,723,064

(i) The fair value re-measurement has been entirely allocated to 'Property, plant and equipment, right-of-use assets and intangible assets'.

4.3 Loss on sale of Hadeed

Consideration received or receivable:	
Cash	**1,163,045**
Long-term and current receivables (i)	**4,867,992**
Total sale consideration	**6,031,037**
Less: carrying amount of net assets sold	**(9,224,307)**
Loss on sale of Hadeed (ii)	**(3,193,270)**

(i) Receivables from PIF, to be received over two years, are presented net of discounting impact and recognised as a 'financial asset at amortised cost' in accordance with IFRS 9 *'Financial Instruments'*.

(ii) The loss on sale of Hadeed includes fair value re-measurement loss which was recognized during the year ended 31 December 2023 amounting to SR 2,931 million.

The following represents the carrying amounts of assets and liabilities of Hadeed at the date of disposal:

As at	31 May 2024
Assets	
Property, plant and equipment, right-of-use assets and intangible assets	8,270,493
Other assets	9,436,438
Cash and cash equivalents	1,365,147
Total assets	19,072,078
Liabilities	
Employee benefits	2,900,962
Other liabilities	6,946,809
Total liabilities	9,847,771
Net assets	9,224,307

5. SIGNIFICANT MATTERS DURING THE PERIOD

5.1 Assets held for sale

During the period ended 30 June 2024, the assets and liabilities of Film & Sheet (F&S) business, part of Petrochemicals segment, were reclassified to 'assets held for sale' and 'liabilities directly associated with assets held for sale' in the condensed consolidated interim statement of financial position, as a result of operational and structural changes.

On 1 September 2024, SABIC has satisfied all customary conditions and has obtained regulatory approvals. First instalment of total sale consideration was received in the third quarter of 2024. In line with the agreement, the final amount of the total sale consideration will be determined once the completion accounts are concluded, which is expected during the fourth quarter of 2024. The resulting gain on sale of F&S business is recorded under other operating income in the condensed consolidated interim statement of income.

Gain on sale of assets held for sale

Consideration received or receivable:	
Cash	**562,424**
Long-term receivables	**375,000**
Total sale consideration	**937,424**
Less: carrying amount of net assets sold	**(646,065)**
Gain on sale of assets held for sale	**291,359**

The carrying amounts of assets and liabilities of F&S business at the date of disposal were:

As at	1 September 2024
Assets held for sale	
Property, plant and equipment, right-of-use assets and intangible assets	432,937
Other assets	503,124
Cash and cash equivalents	142,781
Total assets	1,078,842
Liabilities directly associated with assets held for sale	
Employee benefits	41,386
Other liabilities	391,391
Total liabilities	432,777
Net assets	646,065

5. SIGNIFICANT MATTERS DURING THE PERIOD (CONTINUED)

5.2 Sale of shares in Aluminium Bahrain BSC ("ALBA")

On 14 Rabi'ul Awwal 1446 AH (corresponding to 17 September 2024), the group announced the signing by SABIC Industrial Investment Company, a wholly owned subsidiary of SABIC, of an agreement for the sale of its holding of 292,804,000 ordinary shares in ALBA (representing 20.62% of its issued share capital) to Saudi Arabian Mining Company ("Ma'aden"). The divestment will enable SABIC to optimise its portfolio, focus on its core business, and further strengthen its growth in the chemicals industry.

The sale proceeds will be BHD 363 million (approximately SR 3,624 million). The investment was part of Petrochemicals segment and has been classified as 'assets held for sale' since the sale is highly probable within twelve months.

The investment has been measured at the lower of its carrying amount and its fair value less costs to sell (based on the agreement), resulting in a fair value remeasurement loss amounting to SR 201 million which has been recorded under results from associates and non-integral joint ventures in the condensed consolidated interim statement of income.

The completion of the transaction is subject to customary approvals from the relevant regulatory authorities and the satisfaction of certain conditions precedent contained in the share sale and purchase agreement.

5.3 Zakat expense

The Group reported net zakat expense of SR 397 million and SR 184 million for three months and nine months periods ended 30 September 2024 respectively (three months and nine months periods ended 30 September 2023: zakat expense of SR 311 million and SR 1,230 million respectively).

The lower zakat expense in the current nine months period resulted from a reassessment of the zakat positions in the current and previous years, following the new zakat regulations (Ministerial Resolution 1007) enacted during 2024, for which the Group has applied retrospective application in second quarter of 2024.

NOTES TO THE CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS (CONTINUED)

All amounts in thousands of Saudi Riyals unless otherwise state

6. FAIR VALUE MEASUREMENT

	As at 30 September 2024				As at 31 December 2023			
	Level I	Level II	Level III	Total	Level I	Level II	Level III	Total
Financial assets								
Investment in equity instruments	-	38,529	219,961	258,490	3,691	35,555	197,239	236,485
Derivatives financial instruments	-	-	4,050,049	4,050,049	-	-	3,745,176	3,745,176
Certificates of deposits	-	162,865	-	162,865	-	160,226	-	160,226
	-	201,394	4,270,010	4,471,404	3,691	195,781	3,942,415	4,141,887
Financial liabilities								
Derivatives financial instruments	-	-	2,103,393	2,103,393	-	-	2,011,144	2,011,144
	-	-	2,103,393	2,103,393	-	-	2,011,144	2,011,144

The classification methodology used in this disclosure is in line with the annual consolidated financial statements for the year ended 31 December 2023. No transfers were recorded between Level I, Level II or Level III for the nine months period ended 30 September 2024.

The following table summarises the information about the significant non-observable inputs used in level III fair value measurements:

Description	Valuation technique	Significant non-observable input	Range
Derivative financial instruments	Market approach	Put options and forward contracts:	
		Equity value to EBITDA multiple	5.8
		Call option valuation:	
		Implied volatility	25% to 30%
		Assumed dividend yield	8.5% to 14.2%
		Risk free rate	3.8% to 4.5%

SABIC accounts for a number of financial instruments, which are measured at amortised cost. The fair value of the majority of these instruments approximate their carrying values, except for debt which has carrying value amounting to SR 29,911 million and fair value amounting to SR 29,433 million as at 30 September 2024 (31 December 2023: carrying value amounting to SR 27,971 million and fair value amounting to SR 26,979 million).

The fair value of trade receivables, short-term investments, cash and cash equivalents, trade payables and other financial assets and financial liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

The key movements during the nine months period ended 30 September 2024 in Level III fair values of financial assets and liabilities amounted to SR 235 million (30 September 2023: fair value gain amounting to SR 1,354 million) driven by a fair value gain of derivative financial instruments.

A change in the assumptions underlying the valuation of the options of +/- 10% would reflect in a change in the value of the call option up to approximately +/- SR 689 million and approximately +/- SR 205 million in the value of the put/call options (30 September 2023: change of approximately +/- SR 750 million and +/- SR 225 million in value of call option and put/call options respectively).

There is no material unquoted equity instrument at FVOCI to be disclosed separately.

7. REVENUE

Revenue can be broken down as follows:

	For the three months period ended 30 September		For the nine months period ended 30 September	
	2024	2023	2024	2023
Sales of goods	**35,826,017**	34,929,691	**102,349,584**	103,090,093
Logistic services	**884,700**	908,923	**2,524,658**	2,997,306
Rental income	**169,430**	136,689	**410,326**	417,650
	36,880,147	35,975,303	**105,284,568**	106,505,049

Refer Note 9 for the segment and geographical distribution of revenue.

8. RELATED PARTY TRANSACTIONS AND BALANCES

Significant related party transactions and balances can be broken down as follows:

	Sales to related parties			
	For the three months period ended 30 September		For the nine months period ended 30 September	
	2024	2023	2024	2023
Associates	**20,632**	16,702	**64,518**	66,564
Joint ventures	**1,742,107**	1,846,451	**4,974,380**	5,318,921
Saudi Aramco	**6,750**	1,711	**14,703**	8,023
Saudi Aramco's subsidiaries, associates and joint ventures	**2,850,945**	4,105,801	**9,252,921**	9,878,062

	Purchases from related parties			
	For the three months period ended 30 September		For the nine months period ended 30 September	
	2024	2023	2024	2023
Associates	**1,258,523**	1,049,329	**3,651,098**	3,573,392
Joint ventures	**3,802,143**	4,194,784	**11,881,274**	12,736,554
Saudi Aramco	**5,657,712**	4,985,751	**16,418,749**	13,748,799
Saudi Aramco's subsidiaries, associates and joint ventures	**6,112,013**	4,594,470	**17,505,553**	16,088,904

As at 30 September 2024	Amounts owed by related parties	Amounts owed to related parties
Associates	**20,336**	**653,780**
Joint ventures	**4,498,683**	**5,641,646**
Saudi Aramco	**15,632**	**4,010,639**
Saudi Aramco's subsidiaries, associates and joint ventures	**1,227,865**	**2,551,770**

As at 31 December 2023	Amounts owed by related parties	Amounts owed to related parties
Associates	22,052	525,347
Joint ventures	4,368,145	5,506,494
Saudi Aramco	4,543	3,856,450
Saudi Aramco's subsidiaries, associates and joint ventures	1,823,502	3,496,446

	Loans to related parties	
	As at 30 September 2024	As at 31 December 2023
Associates	**30,309**	32,739
Joint ventures	**701,019**	625,795
Entities (FVOCI equity accounted)	**60,504**	48,749
	791,832	707,283

(i) As at 30 September 2024, the outstanding balance of loan from Saudi Aramco was amounting to SR 6,935 million (31 December 2023: SR 3,747 million).

8. RELATED PARTY TRANSACTIONS AND BALANCES (CONTINUED)

Transactions and balances with entities controlled by the Saudi government can be shown as follows:

	For the three months period ended 30 September		For the nine months period ended 30 September	
	2024	2023	2024	2023
Purchases of goods and services	**534,189**	560,631	**1,507,878**	1,756,440
Sales of goods and services	**46,696**	2,698	**3,382,798**	10,796

As at	30 September 2024	31 December 2023
Due to entities controlled by the Saudi government	**142,654**	321,812
Due from entities controlled by the Saudi government (ii)	**5,890,912**	6,837
Loan due from entities controlled by the Saudi government (ii)	**1,325,975**	-

(i) During the period ended 30 September 2024, the group obtained all approvals related to the divestment of Hadeed to PIF (an entity controlled by the Saudi government). The Hadeed business was presented as discontinued operation prior to closing of the transaction in these condensed consolidated interim financial statements (refer Note 4).

(ii) Following balances as presented above are related party transactions with Hadeed, an entity controlled by the Saudi government:

- receivable from PIF amounting to SR 4,868 million.
- receivable from Hadeed against the services amounting to SR 1,018 million.
- loan receivable from Hadeed amounting to SR 1,326 million.

9. SEGMENT INFORMATION

For management purposes, the Group is organised into two operating segments.

The **Petrochemicals** segment is comprised of two primary product categories: Chemicals and Polymers.

- **Chemical** products are manufactured from a variety of hydrocarbon feedstock, including Methane, Ethane, Propane, Butane, and light Naphtha. The product range includes Olefins, Methanol, Aromatics, Glycols, Carbon Dioxide, Methyl Tert-Butyl Ether (MTBE).
- **Polymer** products include Polyethylene (PE), Polypropylene (PP), Polycarbonate (PC), and other Polymers:
  - The PE product range encompasses linear low-density polyethylene (LLDPE), low-density polyethylene (LDPE), and high-density polyethylene (HDPE).
  - The PP product lines include homo, random, and impact Polypropylene, as well as Polypropylene compounds, homo polymer, random copolymer, impact copolymer, and specialty automotive grades.
  - The Specialties product range includes NORYL™, ULTEM™, EXTEM™, and SILTEM™ resins, a range of LNP™ compounds and copolymers, and a variety of thermosets and additives. As of April 19, 2024, the Specialties business was repositioned and integrated into the Polymers business.
  - Other notable products include Polyvinyl Chloride (PVC), Polyethylene Terephthalate (PET), Polystyrene (PS), and Acrylonitrile Butadiene Styrene (ABS).

9. SEGMENT INFORMATION (CONTINUED)

The **Agri-Nutrients** segment consists of a range of fertiliser products; including Urea, Ammonia, Phosphate, as well as compound fertilisers.

Hadeed, a wholly-owned manufacturing business was concerned with production of steel products; long products and flat products. Hadeed has been reported as 'discontinued operation' in these condensed consolidated interim financial statements (refer Note 4).

The Chief Executive Officer monitors the results of its segments for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on income statement and is measured consistently with profit or loss in the condensed consolidated interim financial statements.

The segments' financial details are shown below:

	For the three months period ended 30 September 2024		
	Petrochemicals	Agri-nutrients	Continuing operations
Revenue	34,084,235	2,795,912	36,880,147
Depreciation and amortisation	(2,955,806)	(212,030)	(3,167,836)
Impairments and write-offs	(43,674)	-	(43,674)
Income from operations	1,669,923	807,337	2,477,260
Share of results of non-integral joint ventures and associates	(65,467)	69,144	3,677
Finance income			452,669
Finance cost			(712,173)
Income before zakat and income tax			2,221,433

	For the three months period ended 30 September 2023		
	Petrochemicals	Agri-nutrients	Continuing operations
Revenue	33,505,353	2,469,950	35,975,303
Depreciation and amortisation	(3,285,576)	(225,563)	(3,511,139)
Impairments and write-offs	(419,012)	-	(419,012)
Income from operations	710,738	969,984	1,680,722
Share of results of non-integral joint ventures and associates	(11,697)	(184,192)	(195,889)
Finance income			842,828
Finance cost			(684,311)
Income before zakat and income tax			1,643,350

	For the nine months period ended 30 September 2024		
	Petrochemicals	Agri-nutrients	Continuing operations
Revenue	97,836,550	7,448,018	105,284,568
Depreciation and amortisation	(8,934,002)	(664,435)	(9,598,437)
Impairments and write-offs	(514,558)	-	(514,558)
Income from operations	3,657,933	2,130,279	5,788,212
Share of results of non-integral joint ventures and associates	92,061	401,459	493,520
Finance income			1,641,960
Finance cost			(2,052,402)
Income before zakat and income tax			5,871,290

NOTES TO THE CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS (CONTINUED)

All amounts in thousands of Saudi Riyals unless otherwise stated

9. SEGMENT INFORMATION (CONTINUED)

	For the nine months period ended 30 September 2023		
	Petrochemicals	Agri-nutrients	Continuing operations
Revenue	99,115,542	7,389,507	106,505,049
Depreciation and amortisation	(9,494,874)	(637,693)	(10,132,567)
Impairments and write-offs	(455,682)	-	(455,682)
Income from operations	2,533,368	2,551,190	5,084,558
Share of results of non-integral joint ventures and associates	(240,216)	288,998	48,782
Finance income			2,595,056
Finance cost			(1,895,090)
Income before zakat and income tax			5,833,306

	As at 30 September 2024		
	Petrochemicals	Agri-nutrients	Continuing operations
Total assets	**259,847,781**	**17,549,302**	**277,397,083**
Capital expenditure	**6,783,347**	**482,008**	**7,265,355**
Investment in associates and joint ventures	**29,483,129**	**8,153,800**	**37,636,929**
Total liabilities	**85,176,483**	**2,757,474**	**87,933,957**

	As at 31 December 2023		
	Petrochemicals	Agri-nutrients	Continuing operations
Total assets	260,315,379	18,641,118	278,956,497
Capital expenditure	8,967,834	899,570	9,867,404
Investment in associates and joint ventures	33,016,209	8,221,092	41,237,301
Total liabilities	89,772,173	3,624,848	93,397,021

Geographical distribution of revenue

	For the three months period ended 30 September 2024		For the three months period ended 30 September 2023	
		%		%
KSA	**4,827,774**	**13**	4,788,255	13
China	**6,491,286**	**17**	7,308,389	20
Rest of Asia	**8,339,107**	**23**	7,972,458	22
Europe	**7,183,050**	**19**	7,059,235	20
Americas	**4,648,213**	**13**	4,006,245	11
Africa	**2,577,292**	**7**	1,974,521	6
Others	**2,813,425**	**8**	2,866,200	8
	36,880,147	**100**	35,975,303	100

	For the nine months period ended 30 September 2024		For the nine months period ended 30 September 2023	
		%		%
KSA	**14,641,937**	**14**	14,417,570	14
China	**18,348,855**	**17**	21,106,458	20
Rest of Asia	**22,761,940**	**22**	21,628,878	20
Europe	**21,807,986**	**21**	23,402,491	22
Americas	**12,484,855**	**12**	11,083,032	10
Africa	**6,820,961**	**6**	5,626,863	5
Others	**8,418,034**	**8**	9,239,757	9
	105,284,568	**100**	106,505,049	100

The revenue information above is based on the locations of the customers.

9. SEGMENT INFORMATION (CONTINUED)

Geographical distribution for non-current assets excluding financial assets and deferred tax assets

	As at 30 September 2024		As at 31 December 2023	
		%		%
KSA	**97,241,598**	**69**	99,600,827	69
Europe	**19,302,434**	**14**	18,711,114	13
Americas	**22,036,525**	**15**	22,608,242	16
Asia	**2,752,718**	**2**	2,902,078	2
Africa	**35,432**	**-**	41,121	-
	141,368,707	**100**	143,863,382	100

10. APPROPRIATIONS

On 13 Dhu'l-Qi'dah 1445H (corresponding to 21 May 2024), SABIC declared interim cash dividends upon the Board's decision for the first half of the year 2024 amounting to SR 5,100 million (at SR 1.70 per share), which has been recognised in these condensed consolidated interim financial statements for the period ended 30 September 2024. This has been paid to the shareholders on 21 Rabi' Al-Awwal 1446H (corresponding to 24 September 2024).

On 28 Jumada Al-Ula 1445H (corresponding to 12 December 2023), SABIC declared cash interim dividends amounting to SR 4,800 million (at SR 1.60 per share) for the second half of year 2023, which was paid to the shareholders on 23 Sha'ban 1445H (corresponding to 4 March 2024).

On 17 Rabi' al-Awwal 1445H (corresponding to 2 October 2023), SABIC distributed interim cash dividends amounting to SR 5,400 million (at SR 1.80 per share) for the first half of the year 2023. The total interim dividends for the year 2023 were amounting to SR 10,200 million (at SR 3.40 per share).

On 11 Ramadan 1444H (corresponding to 2 April 2023), SABIC distributed cash dividends amounting to SR 6,000 million (at SR 2.00 per share) for the second half of financial year 2022, resulting in a full year cash dividend distribution of SR 12,750 million (at SR 4.25 per share), which was ratified by the General Assembly ("GA") in its meeting held on 4 Dhu Al-Hijjah 1444H (corresponding to 22 June 2023).

11. SUBSEQUENT EVENTS

In the opinion of management, there have been no further significant subsequent events, other than those disclosed in these condensed consolidated interim financial statements, since the period ended 30 September 2024, which would have a material impact on the financial position of the Group as reflected in these condensed consolidated interim financial statements.